

view online in a folder on your computer. Many financial institutions will only store your data for a relatively short period of time; after that, they'll charge you to get copies of older statements, which you may need if you get audited. I recommend keeping one folder for each account.

There are, of course, certain items that are available only on paper, like receipts and the agreements you get when you open a credit card. If you want to keep these electronically, you can scan them. But since no one wants to sit by the scanner all day, you can simply file these documents in regular folders in a cardboard file cabinet. (This is also where you should keep any statements you may still get in the mail.)

Now you're ready to set up your system. Here are the folders you'll need (and some notes on what to keep inside each one):

*Auto loans.* Save loan agreements that list the terms of your loan.

*Auto (other).* Keep your purchase agreement, your certificate of title, and any warranty you may have. Also hold on to warranties and receipts from repair work. These are especially handy if you ever want to sell the car.

*Bank statements.* Your bank statements will show all your debit card transactions, so save statements showing purchases that may be deductible on your taxes and put them in the appropriate folder.

*Brokerage accounts.* Keep statements that show purchases and sales of investments. You'll also need to hold on to stock or bond certificates.

*Credit cards.* When you get these statements, make copies of any showing purchases that may be tax-deductible and put them in the appropriate folder.

*Home improvements.* Keeping track of these expenses could pay off if you ever decide to sell your home.

*Home (purchase).* Hang on to your closing statement and all the other documents related to the purchase.